PO Guide Part I · Short Notes ✍️

Part 6 (last): PLI / RPLI FAQs · Post Office savings schemes (SB, RD, TD, MIS, SCSS, PPF, SSA, NSC, KVP, MSSC, PM CARES) · ePassbook · claims · ATM

Yellow = must remember IMP = asked often 📝 PYQ · State-Year = came in a past paper

PLI / RPLI: key FAQs

- **Advantage**: low premium + high bonus · tax benefit under **80C** · pay at any PO or the online portal · toll free **1800 266 6868**
- **Lapse**: **6** unpaid premiums for a policy under 3 years, **12** for older ones · revival any number of times if 5 consecutive years haven't passed · dues + **12%** interest + health certificate · up to 12 instalments
- Missed one month → pay next month with a **1%** fine
- IMP **No medical needed**: up to **₹2 lakh** at any age · PLI up to ₹5 lakh (age ≤ 40) · RPLI up to ₹1 lakh (age ≤ 35) · non-medical policies: deduction on death claim within 3 years
- **Loan**: WLA and CWLA after **4 years** (EA after 3) · **not** in AEA (Sumangal) and children's policy · interest **10%**, half-yearly
- **Surrender**: WLA, EA, CWLA, Yugal Suraksha after **3 years** · **not** in AEA and children's policy · bonus on reduced sum only if surrendered after 5 years
- **Advance premium rebate**: PLI 6 months 1%, 12 months 2% · RPLI 3 months 0.5%, 6 months 1%, 12 months 2% · ₹1 a month rebate per ₹20,000 sum assured
- Only one spouse eligible → **Yugal Suraksha** · always nominate · death claim rejected → appeal to the next higher authority
- Eligible: central / state employees, **GDS**, defence, paramilitary, PSUs, banks, educational institutions, doctors, engineers, CAs, lawyers, employees of NSE / BSE listed companies · RPLI = all rural residents

⚠️ **Exam trap**
Sumangal (AEA) and Bal Jeevan Bima have **no loan and no surrender**.

💡 **Remember**
PLI loan interest **10%**, revival interest **12%**

Post Office savings schemes: one table

Scheme	Minimum	Maximum	Term / key point
SB	₹500	—	A minor above 10 can open in own name PYQ · Telangana 2020 · close any time
RD	₹100 / month	no limit PYQ · Haryana 2022	5 years · can close after 3
TD	₹1000	no limit	1 / 2 / 3 / 5 years · interest yearly
MIS	₹1000	₹9 lakh (joint ₹15 lakh)	5 years · interest monthly
SCSS	₹1000	₹30 lakh	5 years · interest quarterly · close **any time** PYQ · Kerala 2021
PPF	₹500 / year PYQ · MP 2020	₹1.5 lakh / year	15 years
SSA	₹250 PYQ · Haryana 2022	₹1.5 lakh / year	21 years · girl under 10
NSC	₹1000	no limit	5 years · no early closure
KVP	₹1000	no limit	can close after 2.5 years
MSSC	₹1000	₹2 lakh	2 years · 7.5%

80C benefit: 5-year TD, SCSS, PPF, SSA, NSC · SB interest under 80TTA (up to ₹10,000)

Savings Account (SB)

- Single adult · joint (2–3) · **minor above 10** in own name · guardian for a minor / person of unsound mind
- One single account per person · single ↔ joint conversion **not** allowed · nomination **mandatory**
- Minimum **₹500**, then not less than ₹10 · below ₹500 at year end → **₹50** maintenance fee, closed if it hits zero
- Interest: on the minimum balance from the **10th to month end**, credited at year end · 80TTA exemption up to ₹10,000
- No transaction for **3 financial years** → **silent** account · revived with KYC
- Cheque book, ATM, net / mobile banking (within DOP only) · cheque bounce **₹50**

Recurring Deposit (RD)

- Minimum **₹100 a month**, multiples of ₹10 · opened 1st–15th → pay by the **15th** each month · opened after 16th → by the last working day
- Default: **₹1** per ₹100 per month · **4** defaults → discontinued, revivable within 2 months · with up to 4 defaults the term can be extended by those months
- Advance: up to 5 years · on a ₹100 account, 6 instalments → ₹10 rebate, 12 → ₹40
- IMP Loan: after **12 instalments** + 1 year, **50%** of the balance · interest = RD rate + 2%
- Premature closure: after **3 years** (SB rate) · extendable 5 more years (original rate) · can be kept 5 years without deposits
- On death the nominee may continue it till maturity

Time Deposit (TD)

- Minimum **₹1000**, multiples of ₹100, no maximum · interest **yearly** (no interest on unclaimed interest)
- **5-year TD** → 80C · extension: 1-year within 6 months, 2-year within 12 months, 3 / 5-year within 18 months of maturity
- Premature: after **6 months** · closed after 1 year → **2% less** than that term's rate
- IMP A 5-year TD opened on / after 10-11-2023 can't be closed for **4 years** · can be pledged (banks, RBI, co-operatives, govt companies)

Monthly Income Scheme (MIS)

- Minimum **₹1000** (multiples of ₹1000) · max **₹9 lakh** single, **₹15 lakh** joint (equal shares) · a minor's limit is separate
- Interest every month, no interest on unclaimed interest · auto credit to SB / ECS
- **No** closure before 1 year · 1–3 years → **2%** cut from principal · 3–5 years → **1%** · full at 5 years

Senior Citizens Savings Scheme (SCSS)

- IMP Age **60+** · retired civilians **55–60** · retired defence **50–60** (within **1 month** of retirement benefits)
- Single or jointly with the **spouse only** · the whole joint deposit belongs to the first holder
- Minimum ₹1000 · maximum **₹30 lakh** · 80C · interest **quarterly** · TDS if interest exceeds ₹50,000 (not with ISG / ISH)

- Close **any time**: before 1 year → no interest · 1–2 years → 1.5% cut · 2–5 years → 1% · after 5 years extend by **3 years**

Public Provident Fund (PPF)

- **One** account in the whole country (PO or bank) · **₹500 to ₹1.5 lakh** a year, multiples of ₹50 · 80C · interest at year end
- No ₹500 in a year → discontinued · revive: ₹500 + **₹50** per defaulted year · no loan / withdrawal on discontinued accounts
- **Loan**: after 1 year from the end of the opening year, before 5 years · **25%** of the balance at the end of the second preceding year · repaid within 36 months → **1%** interest, later → 6%
- **Withdrawal**: after 5 years, once a year, up to **50%**
- Matures after **15 financial years** · extend in blocks of **5 years** within 1 year (with deposits, up to 60% withdrawal)
- Premature closure (after 5 years): serious illness, higher education, becoming an NRI → 1% less interest · on death it closes, the nominee can **not** continue it

Sukanya Samriddhi Account (SSA)

- Girl **below 10**, opened by the guardian · one account per girl · max **2** girls per family (exception for twins / triplets)
- Minimum **₹250**, max ₹1.5 lakh a year · deposits for **15 years** · default → revive with ₹250 + ₹50 per year · 80C
- Guardian operates till 18 · **50%** withdrawal after **18** or **passing 10th** 📝 PYQ · UP 2020 (once a year, max 5 times)
- Closure: at **21 years** · or on marriage after 18 · after 5 years: death / extreme compassion

NSC, KVP, MSSC, PM CARES

- **NSC (VIII)**: single or up to **3 adults** joint · from ₹1000, no limit · **5 years** · 80C · can be pledged · **no** early closure (except death or forfeiture)
- **KVP**: from ₹1000, no limit · maturity set by the govt (doubles in 115 months) · closure: on death or after **2.5 years** · can be pledged
- **Mahila Samman Savings Certificate (MSSC)**: ₹1000 to **₹2 lakh** · **3-month** gap between two accounts · **7.5%**, compounded quarterly · **40%** withdrawal after 1 year · closable after 6 months without reason · matures in **2 years**

- **PM CARES for Children 2021**: children who lost parents to COVID (11.03.2020 to 28.02.2022) · **DM** as joint holder · corpus **₹10 lakh** at 18 · monthly stipend from MIS interest till 23 · ₹10 lakh paid at 23

ePassbook, claims, ATM

- **ePassbook**: via OTP · balance + mini statement (SB, PPF, SSA) · full statement in phases
- Death claim: with nomination → form + death certificate · without nomination, **up to ₹5 lakh** → affidavits etc., **6 months** after death · above ₹5 lakh → legal evidence (succession certificate etc.)
- Account transfer: form **SB-10(B)** · duplicate certificate → as a passbook, from the HO (no indemnity bond for mutilated ones)
- ATM: **₹25,000** a day, ₹10,000 per transaction · free at other banks: **3** in metros, **5** elsewhere, then ₹20 + GST · card replacement ₹300 · annual ₹125 · SMS ₹12

★ At a glance: savings

₹500 SB / PPF	**₹100** RD	**₹250** SSA	**₹9/15 lakh** MIS	**₹30 lakh** SCSS
₹1.5 lakh PPF / SSA a year	**15 / 21** PPF / SSA years			

⚠️ **Exam trap**
SCSS can be closed **any time** (with a cut), but NSC can **not** be closed early. MIS **not** before 1 year.

💡 **Remember**
Minimums "**100-250-500-1000**" = RD · SSA · SB/PPF · all the rest

✍️ Test yourself

1. From what age can a minor open an SB account alone?
2. When is the 50% SSA withdrawal allowed?
3. Maximum deposit in SCSS?
4. Loan available on an RD?
5. PPF matures in how many years?
6. MSSC maximum?

Answers: 1 Above 10 · 2 After 18 or passing 10th · 3 ₹30 lakh · 4 50% (after 12 instalments) · 5 15 financial years · 6 ₹2 lakh

Source: PO Guide Part I · MTS / Postman notes, pages 136–162, condensed · interest rates change every quarter